



U.S. Highway 169 Corridor Coalition

Working together to enhance safety, reduce congestion and maximize economic development along the US Highway169 inter-regional corridor.

www.us169corridorcoalition.com

To: US 169 Coalition Board

From: Lisa Freese

Regarding Tort Liability Waiver

Background:

Cities or Joint Powers Boards obtaining liability coverage from the League of Minnesota Cities Insurance Trust must decide whether or not to waive the statutory tort liability limits to the extent of the coverage purchased. The decision to waive or not to waive the statutory limits has the following effects:

- *If the Board does not waive the statutory tort limits*, an individual claimant would be able to recover no more than \$500,000. on any claim to which the statutory tort limits apply. The total which all claimants would be able to recover for a single occurrence to which the statutory tort limits apply would be limited to \$1,500,000. These statutory tort limits would apply regardless of whether or not the city purchases the optional excess liability coverage.
- *If the Board waives the statutory tort limits and does not purchase excess liability coverage*, a single claimant could potentially recover up to \$1,500,000, on a single occurrence. The total which all claimants would be able to recover for a single occurrence to which the statutory tort limits apply would also be limited to \$1,500,000, regardless of the number of claimants.
- *If the Board waives the statutory tort limits and purchases excess liability coverage*, a single claimant could potentially recover an amount up to the limit of the coverage purchased. The total which all claimants would be able to recover for a single occurrence to which the statutory tort limits apply would also be limited to the amount of coverage purchased, regardless of the number of claimants.

Claims to which the statutory municipal tort limits do not apply are not affected by this decision.

Discussion:

Staff has reviewed this and recommends that the Board continue to NOT waive the Tort Liability limits under Minnesota Statute. To waive it, would result in an increase the premium and because of nature of the US coalition's activities there doesn't not appear to be any reason we would need to have coverage exceeding the \$1.5 million limit per occurrence. Our premium cost has not been rated for this year, but last year the insurance premium was \$850.

Action:

A motion to **NOT WAIVE** the monetary limits on municipal tort liability established by Minnesota Statutes 466.04 for the US Coalition Joint Powers Board for the Board's insurance Coverage in 2015.